prepared psychologically as well as financially—not merely knowing intellectually that a downturn will happen, but having the emotional wherewithal to act appropriately when it does.

"The investor who permits himself to be stampeded or unduly worried by unjustified market declines in his holdings is perversely transforming his basic advantage into a basic disadvantage," said Graham. "That man would be better off if his stocks had no market quotation at all, for he would then be spared the mental anguish caused him by another person's mistakes of judgment."[11]

And on the Other Side, Warren Buffett

Warren Buffett's approach to investing, thinking of stocks as businesses and managing a focus portfolio, is directly at odds with the financial theories taught to thousands of business students each and every year. Collectively, this financial framework is known as modern portfolio theory. As we will discover, this theory of investing was built not by business owners but by ivory tower academicians. And it is an intellectual house that Buffett refuses to reside in. Those who follow Buffett's principles will quickly find themselves emotionally and psychologically disconnected from how a majority of investors behave.

Harry Markowitz—Covariance

In March 1952, Harry Markowitz, a University of Chicago graduate student, published a 14-page article in the *Journal of Finance* entitled "Portfolio Selection."[12] In it, Markowitz explained what he believed was a rather simple notion, that return and risk are inextricably linked, and presented the calculations that supported his conclusion that no investor can achieve above-average gains without assuming above-average risk. It seems almost ridiculously obvious today, but it was a revolutionary concept in the 1950s, a time when portfolios were constructed haphazardly. Today that brief article is credited with launching modern finance.